

Extra exercises of Lecture 9

EX 1

What is/are the advantage/s of futures over forward contracts?

- I. the ability to fix price today of an asset delivered in the future
 - II. customized contracts
 - III. the elimination of counterparty risk
 - IV. standardized contracts
- a) I and IV
 - b) III and IV
 - c) I and III
 - d) I and IV

EX 2

James has entered today a contract on a commodity that will be delivered 120 days in the future. All payments are due on the day of delivery, no matter how the commodity price develops. James payoff from the contract will be higher if the commodity price falls at the delivery date. You have:

- a) bought a futures contract
- b) sold a futures contract
- c) bought a forward contract
- d) sold a forward contract

EX 3

Mike is asked to draw the profit function of the investor buying a forward contract in a graph (the spot market price at delivery is on the X axis, whereas profit is on the Y axis). The correct graph Mike will draw has

- a) a downward sloping line
- b) a kinked line, first horizontal and then upward sloping
- c) an upward sloping line
- d) a vertical line

EX 4

A finance company sells a bond forward to a mutual fund. What risk does the mutual fund want to hedge?

- a) interest rates going up
- b) interest rates going down
- c) counterparty risk
- d) none of the others